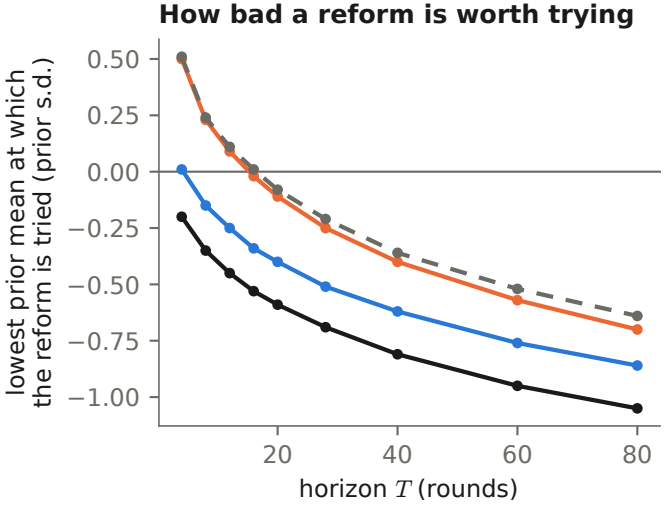
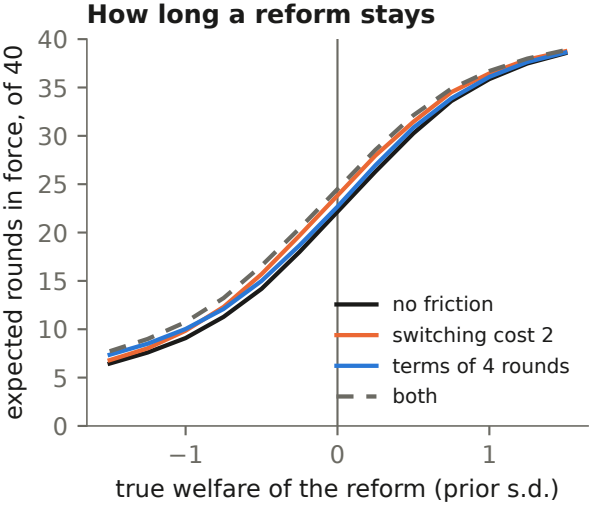

How bad a reform is worth trying
lowest prior mean at which the reform is tried (prior s.d.)
0.50
0.25
0.00
−0.25
−0.50
−0.75
−1.00
20
40
60
80
horizon T (rounds)


How long a reform stays
expected rounds in force, of 40
40
35
30
25
20
15
10
5
0
−1
0
1
true welfare of the reform (prior s.d.)
no friction
switching cost 2
terms of 4 rounds
both